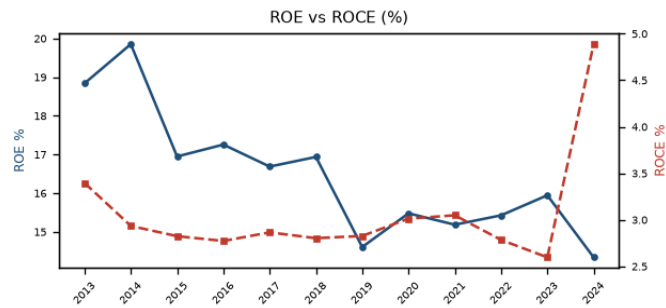
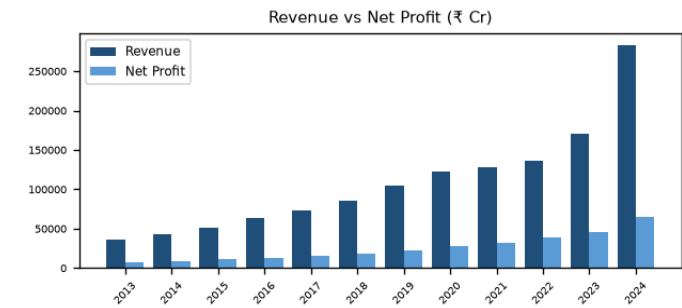


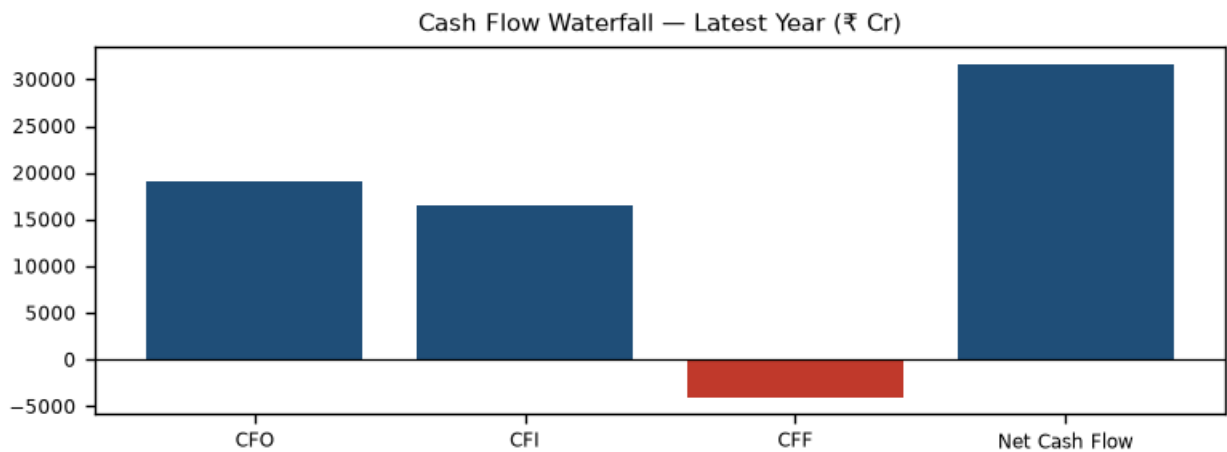
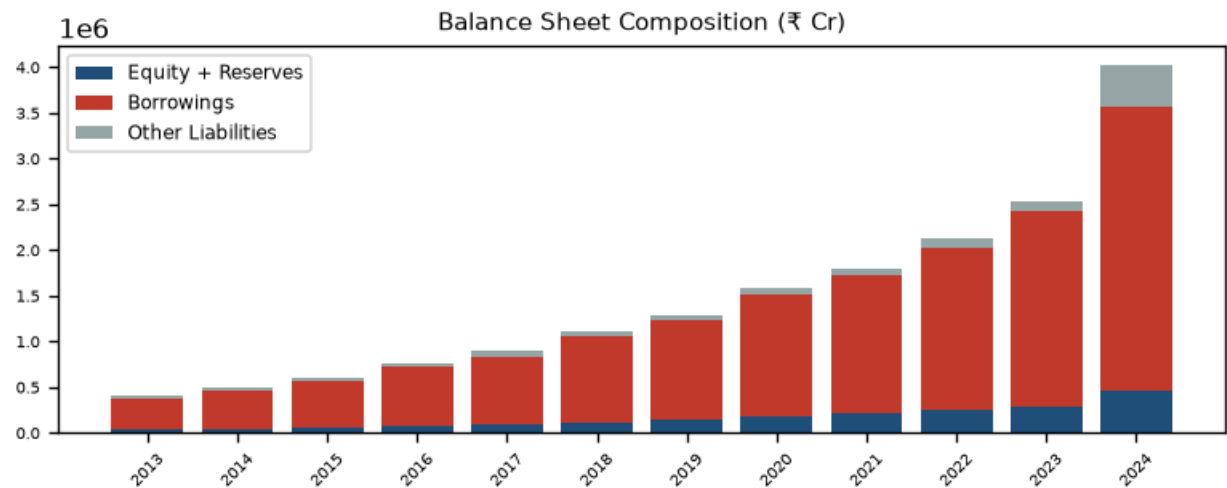
HDFC Bank Ltd (HDFCBANK)

Financials — Private Banks

ROE	ROCE	Net Profit Margin
14.3%	4.9%	23.1%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
6.8x	22.0%	35669



HDFC Bank Ltd (HDFCBANK) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Liquidating Assets

Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (67% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (78% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (62% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (72% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (60% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (62% confidence)

Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (85% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (65% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)